

Paradiem 

The Morning Brief

JULY 29, 2026

Pause Breaks Overnight

US-Iran strikes resume as IRGC missiles targeted US forces and US-Saudi forces struck Iran-backed militias in Iraq; oil retraces higher into an FOMC decision and MSFT / META print night.

S&P 500 (TUE)	NASDAQ (TUE)	BRENT (OVERNIGHT)	BITCOIN (IBIT TUE)	FEAR & GREED
\$740.86 · ↑0.24% · defensive rotation held bid	\$675.49 · ↓0.97% · chips led decline	Approx. \$86.97 · ↑3.42% per CNBC · US-Iran strikes resume	\$36.14 · ↓1.71%	CNN 37 · Fear · data drop crypto fallback 29

SECTION 01

Markets — The US-Iran Strike Pause Breaks Overnight as the IRGC Launches a Ballistic Missile Attack on US Forces and US-Saudi Forces Strike Iran-Backed Militias Across Iraq; Oil Retraces Higher Into the FOMC Decision and the MSFT / META Print Night as Tuesday's Chip-Cohort Sell-Off Sets the Sell-Side Base

OIL RETRACES APPROXIMATELY +3.4% OVERNIGHT ON RENEWED US-IRAN KINETIC ACTIVITY AFTER TUESDAY'S CONTINUED RETRACE — S&P 500 FUTURES TRADED MODESTLY HIGHER INTO THE WEDNESDAY OPEN WHILE THE CHIP-COHORT RESET FROM TUESDAY SITS AGAINST THE MSFT / META PRINT NIGHT AND THE 2:00 PM ET FOMC DECISION

Per CNBC coverage of the Wednesday overnight tape, Brent September futures traded approximately ↑3.42% to \$86.97 and WTI approximately ↑3.58% to \$82.09 after the IRGC launched ballistic missiles at US forces in the Middle East (intercepted per US Central Command reporting) and US-Saudi joint forces struck Iran-backed militia logistics sites across Iraq — ending the multi-session strike pause referenced across prior briefs. Per Benzinga preview coverage of the Wednesday tape, S&P 500 futures traded approximately ↑0.18% pre-open with Polymarket implying near 70% probability of an up open into the 2:00 PM ET FOMC decision and Chair Kevin Warsh's 2:30 PM ET press conference. Tuesday's cash session delivered a decisive index-level dispersion per the data drop: S&P 500 closed ↑0.24% at \$740.86, Dow ↑1.08% at \$526.89, and Russell 2K ↑0.16% at \$293.37, while the Nasdaq closed ↓0.97% at \$675.49 as the chip cohort absorbed the KOSPI overnight rout — AMD ↓8.15% at \$454.62, MRVL ↓7.77% at \$174.47, CRDO ↓7.62% at \$192.28, LRCX ↓7.54% at \$269.61, and VST ↓5.37% at \$148.64 filled the bottom-five FCI mover slots per data drop. The Tuesday sector composition — Healthcare (XLV) ↑2.36%, Staples (XLP) ↑1.99%, Communication Services (XLC) ↑1.87%, Materials (XLB) ↑1.85%, Discretionary (XLY) ↑1.48%, Financials (XLF) ↑1.27% against Tech (XLK) ↓1.84% and Energy (XLE) ↓1.35% — showed a clean defensive rotation into the print sequence. For FCI positioning, the overnight resumption of kinetic activity now recasts the Thursday June PCE energy pass-through debate that Tuesday's oil retrace (BNO ↓4.06% at \$46.74, USO ↓3.42% at \$120.49) had appeared to settle.

BRENT (OVERNIGHT)	Approx. \$86.97 · ↑3.42% per CNBC · WTI approx. \$82.09 · ↑3.58%
S&P 500 FUTURES	Approx. ↑0.18% pre-open per Benzinga · Polymarket approx. 70% up-open
NASDAQ (TUE CASH)	\$675.49 · ↓0.97% · chip cohort led decline per data drop
FCI BOTTOM FIVE (TUE)	AMD ↓8.15% · MRVL ↓7.77% · CRDO ↓7.62% · LRCX ↓7.54% · VST ↓5.37%
FCI TOP FIVE (TUE)	NOW ↑4.79% · ATAT ↑4.53% · SSNC ↑3.81% · STLD ↑3.78% · ADP ↑3.60%
SECTOR DISPERSION (TUE)	XLV ↑2.36% · XLP ↑1.99% vs. XLK ↓1.84% · XLE ↓1.35% per data drop
FOMC CONSENSUS	Reuters poll: 104 of 104 economists see hold at 3.50%–3.75%; market pricing implies approx. 40% hike probability per Forex.com
CARSON'S SPY SUPPORT	\$645.80 active · Tue range \$735.98–\$742.79 · not hit

THE FOMC DECISION AT 2:00 PM ET FACES A MATERIALLY REPRICED ENERGY-PASS-THROUGH BACKDROP AFTER THE OVERNIGHT RESUMPTION OF KINETIC ACTIVITY — THE REUTERS POLL PLACES 104 OF 104 ECONOMISTS IN THE HOLD CAMP WHILE MARKET PRICING ASSIGNS APPROXIMATELY 40% PROBABILITY TO A HIKE PER FOREX.COM FRAMING

Per Reuters polling cited across TradingKey, Forex.com, and TheStreet preview coverage, all 104 economists surveyed expect the Fed to hold at 3.50%–3.75% Wednesday — the fifth consecutive meeting without a change. Per Forex.com coverage of the derivatives complex, market pricing nonetheless implies approximately 40% probability of a hike, and traders are pricing approximately 75% odds of at least one 25bps hike by the September meeting — a composition that positions any absence of hawkish setup language for September as a market-moving negative even under a hold decision. Per Chase and StocksAnalyzer coverage of Chair Warsh's prior press conference framing, the Chair has emphasized elevated price levels and declined to offer traditional forward guidance. For the FCI Dividend and Utility sleeves, Tuesday's composition — ADP ↑3.60% at \$264.17, SYK ↑2.93% at \$346.60, ABT ↑2.66% at \$107.27, STLD ↑3.78% at \$259.74, TEL ↑3.23% at \$214.29 — held the defensive rotation bid despite the chip-cohort sell-off, and the

Wednesday FOMC decision will indicate whether the higher-for-longer positioning continues to draw incremental flow into a widened Middle East attack surface. TLT closed Tuesday ↑0.59% at \$84.24 alongside the defensive bid, consistent with the Reuters framing that renewed Iran escalation during the blackout period has added to the uncertainty around Warsh's posture. **Simplicity Over Complexity.**

MSFT / META AFTER THE CLOSE TONIGHT LAND INTO THE NVIDIA-OPENAI \$250B BACKSTOP REPRICING AND THE CHIP-COHORT RESET — CONSENSUS PLACES MSFT EPS NEAR \$4.24 WITH AZURE GROWTH AND FY27 CAPEX THE CENTRAL FOCAL POINTS, AND META'S FY26 CAPEX GUIDE OF \$125B–\$145B REMAINS THE SWING FACTOR AGAINST Q1'S 41.4% OPERATING MARGIN

Per TipRanks, TradingKey, Yahoo, and Investing.com preview coverage of the Wednesday-after-close print, Microsoft consensus sits at approximately \$4.24 EPS on approximately \$87.62B revenue (roughly 16% year-over-year EPS growth and 15% revenue growth) with Azure growth expected near 40% in constant currency and FY27 capex guidance the central swing factor. Per Yahoo and TradingKey coverage, analyst framing places FY27 capex growth in a 20%–30% range, with company-projected calendar-2026 capex near \$190B and consensus FY27 capex framed near \$255B–\$260B per the same preview coverage. Per TipRanks coverage of the Meta print, ad-spend strength and Reality Labs / AI infrastructure spending relative to the FY26 \$125B–\$145B capex guide remain the primary focal points against Q1's 41.4% operating margin per prior brief framing. For the FCI Growth-Hybrid chip sleeve, Tuesday's composition — AMD ↓8.15% at \$454.62, MRVL ↓7.77% at \$174.47, CRDO ↓7.62% at \$192.28, LRCX ↓7.54% at \$269.61, NXPI ↓3.19% at \$259.12, TSM ↓1.70% at \$392.31, KEYS ↓2.71% at \$305.17 — sets the sell-side base against which any capex-guidance restraint from MSFT would compound the merchant-silicon reset and any capex affirmation could catalyze a retrace. NVDA held Tuesday relatively contained at \$197.01 ↑0.25% while ServiceNow (NOW) closed ↑4.79% at \$110.62 as the top FCI mover — a composition consistent with workflow-AI names sitting apart from the merchant-silicon capex debate. **Think Like an Owner.**

The overnight resumption of US-Iran kinetic activity recasts the mid-week Fed / PCE / Big Tech print sequence against a repriced energy-pass-through backdrop, and Tuesday's sector dispersion — healthcare, staples, communication services, and materials up while tech and energy gave back — argues the defensive rotation into the print week remains the operative discipline rather than any impulse response to a single-catalyst repricing. Research Reveals Opportunities.

SECTION 02

Geopolitics — The Multi-Session US-Iran Strike Pause Breaks Overnight as the IRGC Launched Ballistic Missiles at a US Airbase and Centcom Facility in Jordan (All Intercepted per US Reporting) and US-Saudi Forces Struck Iran-Backed Militia Sites Across Iraq — Saudi Arabia Invoked UN Charter Article 51 Citing Recent Drone Attacks on Its Petroleum Facilities

PER NBC NEWS, CNN, EURONEWS, AND AL JAZEERA COVERAGE OF THE TUESDAY-OVERNIGHT-WEDNESDAY TAPE, US AND SAUDI FORCES CARRIED OUT COORDINATED PRECISION STRIKES ON IRAN-BACKED MILITIA HEADQUARTERS ACROSS IRAQ — IRAQ'S POPULAR MOBILISATION FORCES REPORTED AT LEAST 20 FIGHTERS KILLED AND 32 WOUNDED WITH STRIKES HITTING FACILITIES IN BAGHDAD, WASIT, NINEVEH, BASRA, KIRKUK, KARBALA, AND DIYALA

Per NBC News and Euronews coverage of the Wednesday-morning tape, US and Saudi forces launched coordinated strikes on Iran-backed militia sites across Iraq targeting logistics and weapons facilities across seven governorates. Per Al Jazeera live coverage citing Iraq's Popular Mobilisation Forces, at least 20 fighters were killed and 32 wounded across the strikes, and per The National, US Central Command framed the action as retaliation for more than 30 drone attacks over the past three days attributed to Iran-aligned groups. Per NBC News coverage, Saudi Arabia justified its participation citing drone attacks on its petroleum facilities and invoking Article 51 of the UN Charter's right to self-defence — a framing that materially widens the sovereign-participation architecture beyond the prior US-only strike pattern. Per CNN Live coverage, Iran launched ballistic missiles targeting a US airbase in the region and a Centcom facility in Jordan before the US-Saudi strikes; per the same reporting, all Iranian missiles were successfully intercepted per US Central Command, and an American official emphasized to NBC News that the two attacks were not connected. For the FCI Upstream and Defense sleeves, the overnight resumption argues the term-structure repricing of the Monday-Tuesday oil retrace priced the pause rather than a settled ceasefire, and the widened sovereign attack surface — now including a Saudi-participating strike sequence — reinforces the Defense sleeve composition (GD closed Tuesday ↑1.04% at \$393.19 into today's pre-market Q2 print; LMT ↑0.23% at \$581.31). **The physical world matters.**

THE WIDER CONFLICT ARCHITECTURE CONTINUES TO BROADEN — IRAN REJECTED AN OMANI PROPOSAL TO MANAGE THE STRAIT OF HORMUZ PER REUTERS, CHINESE SHOULDER-LAUNCHED MISSILE SYSTEMS ARE REPORTEDLY EN ROUTE TO IRAN WITHIN WEEKS PER REUTERS SOURCES, AND PETROBRAS CUT IMPORTS TO PUSH LOCAL OUTPUT AMID THE US-IRAN CONFLICT PER REUTERS

Per Reuters coverage cited in the data drop headlines, Iran ruled out an Omani proposal to manage the Strait of Hormuz — a framing that keeps the chokepoint-management architecture unresolved and preserves the tail-risk optionality that the Sunday-Monday retrace had appeared to fade. Per Reuters exclusive coverage, Chinese shoulder-launched missile systems

are reportedly set to reach Iran within weeks per unnamed sources — a supply-chain development that, if accurate as reported, would materially reshape the intermediate-term attack surface. Per Reuters headline coverage, Petrobras announced it is cutting imports and pushing local output amid the US-Iran conflict — a sovereign-scale signal that non-Middle-East producers are already repositioning around the widened conflict architecture. Per Reuters coverage cited in the data drop, the top US oil trade group opposed Hormuz tolls after a Gulf-backed voluntary fee proposal — a framing that indicates the physical-chokepoint governance debate remains active even as the front-month price initially retraced.

For the FCI Upstream sleeve, CVX closed Tuesday ↓1.27% at \$187.58, CNX ↑1.33% at \$34.20, and OKE ↓0.74% at \$88.80 — a mixed composition ahead of the overnight kinetic resumption that could see repricing on the Wednesday open toward the physical-cash-flow positioning that has anchored the sleeve. **Avoid Erosion.**

US-IRAN STRIKE PAUSE	Broken overnight per NBC / CNN · IRGC missiles intercepted per US CENTCOM
US-SAUDI IRAQ STRIKES	At least 20 fighters killed per Iraq's PMF via Al Jazeera · strikes in seven governorates per NBC / Euronews
SAUDI LEGAL BASIS	UN Charter Article 51 invoked per NBC citing petroleum facility drone attacks
IRAN MISSILE ATTACK	Targeted US airbase and Centcom facility in Jordan per CNN · all intercepted
DRONE ATTACK BACKDROP	More than 30 drone attacks in past three days per US CENTCOM via The National
STRAIT OF HORMUZ	Iran rejects Omani management proposal per Reuters
CHINESE MISSILE SUPPLY	Iran to receive Chinese shoulder-launched systems in weeks per Reuters sources
PETROBRAS	Cutting imports, pushing local output amid US-Iran conflict per Reuters

SECTION 03

On Our Radar

1. FOMC Decision Today at 2:00 PM ET and Warsh Press Conference at 2:30 PM ET — Reuters Poll Places 104 of 104 Economists in the Hold Camp While Market Pricing Implies Approximately 40% Hike Probability per Forex.com; The Overnight Iran Escalation During the Blackout Period Adds to the Uncertainty Around Warsh's September Setup Language. Per Federal Reserve schedule, the FOMC decision lands Wednesday, July 29 at 2:00 PM ET with Chair Kevin Warsh's press conference at 2:30 PM ET (no SEP at this meeting). Per Reuters polling cited across TradingKey and TheStreet preview coverage, 104 of 104 economists surveyed expect a hold at 3.50%–3.75% — the fifth consecutive meeting without a change. Per Forex.com preview coverage, market pricing nonetheless implies roughly a 40% probability of a hike and traders are pricing approximately 75% odds of at least one 25bps hike by September. Per the same Forex.com framing, the overnight Iran escalation during the FOMC blackout period is one of several factors adding uncertainty to Warsh's posture and the September setup language. For the FCI Dividend and Utility sleeves, Tuesday's defensive rotation composition — ADP ↑3.60%, SYK ↑2.93%, ABT ↑2.66%, STLD ↑3.78%, TEL ↑3.23%, SSNC ↑3.81% — held the bid alongside TLT ↑0.59% at \$84.24, a composition consistent with a hawkish-hold base case rather than a dovish surprise. *Simplicity Over Complexity.*

2. MSFT / META Tonight After the Close — MSFT Consensus Near \$4.24 EPS on Approx. \$87.62B Revenue With Azure Approx. 40% Growth and FY27 CapEx the Central Focal Points per TipRanks / TradingKey; Meta's FY26 CapEx Guide of \$125B–\$145B Remains the Swing Factor Against Q1's 41.4% Operating Margin. Per TipRanks, TradingKey, Yahoo, and Investing.com preview coverage of the Wednesday-after-close prints, MSFT consensus sits at approximately \$4.24 EPS (approximately 16% year-over-year growth) on approximately \$87.62B revenue (approximately 15% growth). Per the same coverage, Azure growth is expected near 40% in constant currency with FY27 capex the central swing factor, and analyst framing places FY27 capex growth in a 20%–30% range from company-projected calendar-2026 capex near \$190B toward a consensus FY27 range near \$255B–\$260B. Per TipRanks framing of the Meta print, ad-spend strength, Reality Labs / AI infrastructure spending, and the FY26 \$125B–\$145B capex guide relative to Q1's 41.4% operating margin remain the primary focal points. For the FCI Growth-Hybrid chip sleeve, Tuesday's composition — AMD ↓8.15%, MRVL ↓7.77%, CRDO ↓7.62%, LRCX ↓7.54%, KEYS ↓2.71%, TSM ↓1.70%, NXPI ↓3.19% — sets the sell-side base against which any MSFT capex-guidance restraint could compound the merchant-silicon reset and any capex affirmation could catalyze a retrace. *Think Like an Owner.*

3. FCI Reporting Wednesday — ADP Pre-Open, LRCX / QCOM / FTNT / HOOD / SOFI After Close; The After-Close Cohort Provides Direct Reads on the AI-Capex-Equipment, Handset / Data-Center Modem, Cybersecurity, and Consumer-Financial Sleeves Alongside the MSFT / META Prints. Per Marketbeat and Defense World preview coverage, Lam Research (LRCX) reports Q4 FY26 after the close Wednesday with consensus at approximately \$1.72 EPS (data drop cite) or \$1.69 EPS per Marketbeat on approximately \$6.66B revenue. Per TheStreet and Barchart preview coverage, Qualcomm (QCOM) reports after the close with consensus at approximately \$2.22 EPS (data drop cite \$2.27) on approximately \$9.67B revenue — a print that lands into QCOM's Tuesday close of \$162.88 ↓4.21% and Qualcomm's approximately 35% drawdown from its all-time high per TheStreet framing. Per data drop consensus, Fortinet (FTNT) reports after the close with consensus at approximately \$0.76 EPS, and Robinhood (HOOD) reports after the close with approximately \$0.45 EPS consensus on approximately \$1.28B revenue per Barchart coverage. SoFi (SOFI) reports after the close with approximately \$0.11 EPS consensus per data drop; ADP reports pre-market with approximately \$2.62 EPS consensus. Per data drop, Tuesday's composition — LRCX ↓7.54% at \$269.61, QCOM ↓4.21% at \$162.88, FTNT ↓1.57% at \$149.98, HOOD ↓3.02% at \$92.76, SOFI ↓0.83% at \$16.74, ADP ↑3.60% at \$264.17 — showed a divergent pre-print base with the merchant-silicon adjacents under pressure and the consumer-financial names giving back a portion of the Monday bid. *Research Reveals Opportunities.*

4. Yesterday's FCI Prints Delivered a Mixed Composition — NXPI EPS \$3.61 vs. \$3.5654 Beat but Closed ↓3.19% as the Outlook Failed to Impress per Yahoo; PCAR EPS \$1.43 vs. \$1.3812 Beat and Closed ↑3.57%; SPGI EPS \$4.83 vs. \$4.8532 Missed and Closed ↓3.52%. Per data drop, three FCI names printed Tuesday: NXP Semiconductors (NXPI) EPS \$3.61 versus \$3.57 consensus (beat) with the stock closing ↓3.19% at \$259.12 — Yahoo coverage framed the reaction as the Dutch chipmaker's outlook failing to impress into the AI-capex reset. PACCAR (PCAR) EPS \$1.43 versus \$1.38 consensus (beat) with the stock closing ↑3.57% at \$138.21 into the North American Class 8 truck build-rate normalization narrative referenced across prior briefs. S&P Global (SPGI) EPS \$4.83 versus \$4.85 consensus (miss) with the stock closing ↓3.52% at \$424.36. The composition indicates the print bar into the FCI cohort remains asymmetric — beats without an outlook upgrade or a miss on the top-line composition can trigger material give-backs, a pattern consistent with the AI-capex reset framing across recent briefs. *Avoid Erosion.*

5. Digital-Asset Sleeve — IBIT and ETHA Both Gave Back Tuesday Alongside the Broader Risk Composition; The

Overnight Iran Escalation and the FOMC Setup Frame Wednesday's Flow Directionally. Per data drop, IBIT closed Tuesday ↓1.71% at \$36.14 and ETHA ↓1.50% at \$14.49, retracing a portion of the Monday bid ahead of the Fed decision and the overnight Iran escalation. The mining cohort remained under pressure with HUT ↓3.30% at \$101.14, MARA ↓3.31% at \$11.38, and HOOD ↓3.02% at \$92.76 into the Wednesday HOOD Q2 print. Per data drop, the Bitcoin ETF outflow narrative referenced across recent Benzinga coverage remained a live composition into the FOMC / print week, and the flow signal into Wednesday's tape will indicate whether the risk-off backdrop draws incremental selling or whether the print sequence catalyzes a directional flip. *The physical world matters.*

6. Carson's SPY Support Remains Untouched Through Tuesday's Session — Intraday Range of \$735.98–\$742.79 Sits Well Above the \$645.80 Retracement Target per levels.json; The Pre-Committed Deployment Tranches Remain the Operative Discipline Rather Than Any Single-Catalyst Impulse. Per levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Tuesday's \$735.98–\$742.79 intraday range per the data drop and sits well-removed from the overnight tape. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point. For the FCI risk framework, the overnight resumption of US-Iran kinetic activity, the Tuesday chip-cohort sell-off (AMD ↓8.15%, MRVL ↓7.77%, CRDO ↓7.62%, LRCX ↓7.54%), and the Wednesday FOMC / MSFT / META print sequence reinforce that the pre-committed deployment tranches — 70% of reserves at –25% drawdown and the remaining 30% at –40% drawdown — remain the operative discipline rather than any impulse response to a single-catalyst repricing. *Research Reveals Opportunities.*